

Total No. of Questions : 9]

SEAT No. :

P2320

[4670] - 22

[Total No. of Pages : 3

M.B.A.

**202: FINANCIAL MANAGEMENT
(2008 Pattern) (Semester - II)**

Time : 3 Hours]

[Max. Marks : 70

Instructions to the candidates:

- 1) *Question No. 1 is compulsory.*
- 2) *Attempt any two questions from Section I & Section II.*
- 3) *Use of simple calculator is allowed.*
- 4) *Figures to the right indicate full marks.*

Q1) Explain the meaning, objectives and functions of financial management? **[10]**

SECTION - I

Q2) Describe the structure of financial system? **[15]**

Q3) What do you mean by capital structure? Explain factors affecting planning of capital structure of an organization? **[15]**

Q4) Explain the various methods of evaluating capital expenditure proposals?**[15]**

Q5) Write short Notes on (Any 3) **[15]**

- a) Trading on Equity.
- b) Financial planning.
- c) Dividend policy.
- d) Fund flow Analysis.
- e) Need for working capital.

P.T.O.

SECTION - II

- Q6)** The Board of directors of XYZ Co. Ltd requests you to prepare a statement showing the working capital requirements for a level of activity of 1,56,000 units of production. The following information is available:- **[15]**

	Per Unit (Rs).
Raw Materials	90
Direct labour	40
Overheads	<u>75</u>
Total cost	205
Profit	<u>60</u>
Selling price per unit	<u>265</u>

- a) Raw Materials are in stock on an average one month.
- b) Materials are in process 50% complete on an average 2 weeks.
- c) Finished goods are in stock on an average one month.
- d) Credit allowed by s ‘ ‘ ‘ .
- e) Time lag in payment from debtors 2 months.
- f) Lag in payment of wages 1^{1/2} weeks.
- g) Lag in payment of overheads one month. 20% of the output is sold against cash. Cash balance is Rs 60,000.

Assume that production is carried on evenly throughout the year, wages & overheads accrue similarly and a time period of 4 weeks is equivalent to a month.

- Q7)** Calculate the optimal capital mix from the given information. **[15]**

Debt as a% of total capital	% cost of Debt	%Cost of Equity
5	8%	16%
10	8%	16%
20	8.5%	17%
40	9%	19%
50	9.5%	22%
60	10%	25%

Q8) X Ltd is contemplating to purchase a machine A & B each costing Rs. 5,00,000. **[15]**

Cash inflows			
Year	Machine A Rs.	Machine B Rs.	Discount Factor @ 10%
1	1,50,000	50,000	0.9092
2	2,00,000	1,50,000	0.8264
3	2,50,000	2,00,000	0.7513
4	1,50,000	3,00,000	0.6830
5	1,00,000	2,00,000	0.6209

Using a 10% discounted rate indicate which of the machine would be profitable using the Net present value method.

Q9) From the following information prepare a balance sheet. **[15]**

Working Capital Rs. 1,20,000
Fixed assets to Net worth 0.75
Current Ratio 2.5
Liquid Ratio 1.5
There are no long term debts.

